

COMMITTEE ON RURAL ECONOMIC DEVELOPMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1401
(Reference to Senate engrossed bill)

1 Strike everything after the enacting clause and insert:

2 "Section 1. Title 9, chapter 4, article 6, Arizona Revised
3 Statutes, is amended by adding section 9-461.21, to read:

4 9-461.21. Workforce housing projects; residential structures;
5 plan review and permitting process; definitions

6 A. EACH MUNICIPALITY MAY ESTABLISH AND MAINTAIN A WORKFORCE HOUSING
7 PROJECT EXPEDITED PLAN REVIEW AND PERMITTING PROCESS. THE WORKFORCE
8 HOUSING PROJECT EXPEDITED PLAN REVIEW AND PERMITTING PROCESS SHALL INCLUDE
9 ALL OF THE FOLLOWING:

10 1. A DEDICATED POINT OF CONTACT FOR AFFORDABLE HOUSING APPLICANTS.

11 2. INITIAL PLAN REVIEW WITHIN TWENTY BUSINESS DAYS AFTER THE
12 SUBMISSION OF THE PLAN APPLICATION.

13 3. INSPECTIONS BEING GIVEN PRIORITY SCHEDULING OR BEING SCHEDULED
14 WITHIN SEVENTY-TWO HOURS.

15 B. FOR THE PURPOSES OF THIS SECTION:

16 1. "WORKFORCE HOUSING" MEANS NEW DWELLING UNITS THAT ARE:

17 (a) FOR SALE OR RENT AT A SALES OR RENTAL PRICE THAT IS AFFORDABLE
18 TO HOUSEHOLDS EARNING NOT MORE THAN ONE HUNDRED FIFTY PERCENT OF THE AREA
19 MEDIAN INCOME AS DETERMINED BY THE UNITED STATES DEPARTMENT OF HOUSING AND
20 URBAN DEVELOPMENT.

21 (b) SUBJECT TO A RECORDED AFFORDABILITY COVENANT OR OTHER BINDING
22 RESTRICTION THAT ENSURES THAT THE SALES OR RENTAL PRICE OF THE DWELLING
23 UNIT IS AFFORDABLE AS PRESCRIBED IN SUBDIVISION (a) OF THIS PARAGRAPH FOR
24 AT LEAST TWENTY YEARS.

25 2. "WORKFORCE HOUSING PROJECT" MEANS A RESIDENTIAL PROJECT THAT
26 DOES ALL OF THE FOLLOWING:

27 (a) CONSTRUCTS NEW DWELLING UNITS FOR SALE OR RENT AT A SALES OR
28 RENTAL PRICE THAT IS AFFORDABLE TO HOUSEHOLDS EARNING NOT MORE THAN ONE
29 HUNDRED FIFTY PERCENT OF THE AREA MEDIAN INCOME AS DETERMINED BY THE
30 UNITED STATES DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT.

31 (b) RECORDS AN AFFORDABILITY COVENANT OR OTHER BINDING RESTRICTION
32 THAT ENSURES THAT THE SALES OR RENTAL PRICE OF THE DWELLING UNIT IS
33 AFFORDABLE AS PRESCRIBED IN SUBDIVISION (a) OF THIS PARAGRAPH FOR AT LEAST
34 TWENTY YEARS FOR WORKFORCE HOUSING RENTAL PROJECTS OR INITIAL SALE PRICE
35 AFFORDABILITY FOR OWNERSHIP UNITS.

36 (c) OFFERS ONE HUNDRED PERCENT OF THE NEW DWELLING UNITS IN THE
37 PROJECT FOR SALE OR RENT AT A SALES OR RENTAL PRICE THAT IS AFFORDABLE TO
38 HOUSEHOLDS EARNING NOT MORE THAN ONE HUNDRED FIFTY PERCENT OF THE AREA

1 MEDIAN INCOME AS DETERMINED BY THE UNITED STATES DEPARTMENT OF HOUSING AND
2 URBAN DEVELOPMENT.

3 Sec. 2. Section 35-726, Arizona Revised Statutes, is amended to
4 read:

5 35-726. Approval of general plan before issuing bonds; fee;
6 exceptions; definition

7 A. Bonds shall not be issued by a corporation ~~for the purpose of~~
8 ~~financing~~ TO FINANCE single family dwelling units pursuant to section
9 35-706, subsection A, paragraph 11 or 12 without approval of a general
10 plan by its governing body. The corporation shall submit TO THE GOVERNING
11 BODY a general plan for each respective series of bonds ~~to its governing~~
12 ~~body~~. The general plan shall briefly describe:

- 13 1. The amount of the proposed bonds.
- 14 2. The maximum term of the bonds.
- 15 3. The maximum interest rate on the bonds.
- 16 4. The need for the bond issue.
- 17 5. The terms and conditions for originating or purchasing mortgage
18 loans or making loans to lenders.
- 19 6. The area in which the single family dwelling units to be
20 financed may be located.

21 7. The proposed fees, charges and expenditures to be paid for
22 originators, servicers, trustees, custodians, mortgage administrators and
23 others.

24 8. All insurance requirements with respect to mortgage loans,
25 mortgaged property, mortgagors, originators, servicers and trustees.

26 9. The anticipated date of issuance of the bonds.

27 B. The governing body shall review general plans submitted by
28 corporations pursuant to subsection A of this section. In reviewing the
29 plans the governing body shall consider:

- 30 1. Whether the amount of the mortgage monies proposed to be made
31 available is reasonably related to the demand for the mortgage monies.
- 32 2. Whether the terms of the general plan are justifiable in the
33 context of the transaction and in the context of similar transactions.
- 34 3. Whether the fees, costs and expenditures as set forth in the
35 general plan are reasonably related to the services provided.

36 4. For projects of owner-occupied single family dwelling units to
37 be occupied by persons of low and moderate income and financed pursuant to
38 section 35-706, subsection A, paragraphs 11 and 12, whether the proposed
39 mortgage monies to be made available will fulfill a public purpose by
40 providing housing for persons of low and moderate income or by encouraging
41 single family developments in all participating jurisdictions, including
42 such jurisdictions' slum or blighted areas as defined in section 36-1471.

43 C. The governing body shall approve or disapprove the general plan
44 not later than thirty days after receipt of the plan. If the governing
45 body does not act on the general plan within thirty days after the date of
46 receipt, the general plan shall be deemed approved. If a general plan is
47 approved, the corporation may issue the series of bonds covered by the

1 general plan with a total principal amount, maximum term and maximum
2 interest rate ~~no~~ NOT greater than that which is set forth in the general
3 plan. The origination and servicing fees pertaining to mortgage loans to
4 be financed in accordance with the general plan shall not exceed those
5 proposed in the general plan. The corporation may vary other items in the
6 general plan on a finding that the variation is minor and that the
7 variations will not impair the security for the bonds or substantially
8 increase the cost of financing the single family dwelling units and the
9 findings of the corporation shall be conclusive.

10 D. The governing body may charge any corporation submitting a
11 general plan for review a fee of not ~~to exceed ten thousand dollars~~ MORE
12 THAN \$10,000 together with reimbursement of its actual costs and expenses
13 incurred in reviewing the general plan.

14 E. Except for a corporation THAT IS approved by the Arizona finance
15 authority or a governing body of a county or a municipality having a
16 population of more than ~~seven~~ THREE percent of the total state population,
17 a corporation shall not issue bonds, other than refunding bonds the
18 proceeds of which are used exclusively to refund a prior bond issue, to
19 finance a ~~multifamily~~ residential rental project, sanitarium, clinic,
20 medical hotel, rest home, nursing home, skilled nursing facility or life
21 care facility as prescribed in section 20-1801, unless the department
22 approves the project. The department, with or without a hearing, shall
23 review the project and consider at least the following factors:

24 1. The demand for and feasibility of the project in the area set
25 forth in the application to the corporation.

26 2. The terms and conditions of the proposed bonds.

27 3. The proposed use of bond proceeds.

28 4. The benefit to the public if the project provides rental housing
29 for persons of low and moderate income or encourages rental housing in
30 slum or blighted areas as defined in section 36-1471.

31 5. If the project consists of a nursing home, or a life care
32 facility as prescribed in section 20-1801, the benefit to the public of
33 the project, including the proposed rent, fees and other charges of the
34 project in relation to the level of services to be offered.

35 F. Subsection E of this section does not apply to bonds issued to
36 finance:

37 1. A sanitarium, clinic, medical hotel, rest home, nursing home,
38 skilled nursing facility, or life care facility as prescribed in section
39 20-1801, if the facility is to be owned and operated by this state or a
40 political subdivision or agency of this state.

41 2. A nursing home, rest home, skilled nursing facility, life care
42 facility or senior residential facility providing on-site medical and
43 support services if the facility is owned and operated by a nonprofit
44 organization that is exempt from taxation under section 501(c)(3) of the
45 United States internal revenue code.

46 G. Except for a corporation that is exempt under subsection E of
47 this section, the department with or without a hearing shall approve or

1 disapprove the project not later than thirty days after receipt of the
2 request for approval. If the project is approved the corporation may
3 issue the bonds described in the approval request with the total principal
4 amount, maximum term and maximum interest rate ~~no~~ NOT greater than as set
5 forth in the request. The department shall charge each applicant
6 submitting a project approval request pursuant to this subsection a fee of
7 not ~~to exceed five thousand dollars~~ MORE THAN \$5,000 together with
8 reimbursement of its actual costs and expenses incurred in reviewing the
9 project. The department shall remit the fees to the state treasurer for
10 deposit in the Arizona department of housing program fund established by
11 section 41-3957.

12 H. For the purposes of this section, "department" means the Arizona
13 department of housing.

14 Sec. 3. Section 42-5075, Arizona Revised Statutes, is amended to
15 read:

16 42-5075. Prime contracting classification; exemptions;
17 definitions

18 A. The prime contracting classification is comprised of the
19 business of prime contracting and the business of manufactured building
20 dealer. Sales for resale to another manufactured building dealer are not
21 subject to tax. Sales for resale do not include sales to a lessor of
22 manufactured buildings. The sale of a used manufactured building is not
23 taxable under this chapter. The prime contracting classification does not
24 include any work or operation performed by a person that is not required
25 to be licensed by the registrar of contractors pursuant to section
26 32-1121.

27 B. The tax base for the prime contracting classification is
28 sixty-five percent of the gross proceeds of sales or gross income derived
29 from the business. The following amounts shall be deducted from the gross
30 proceeds of sales or gross income before computing the tax base:

31 1. The sales price of land, which shall not exceed the fair market
32 value.

33 2. Sales and installation of groundwater measuring devices required
34 under section 45-604 and groundwater monitoring wells required by law,
35 including monitoring wells installed for acquiring information for a
36 permit required by law.

37 3. The sales price of furniture, furnishings, fixtures, appliances
38 and attachments that are not incorporated as component parts of or
39 attached to a manufactured building or the setup site. The sale of such
40 items may be subject to the taxes imposed by article 1 of this chapter
41 separately and distinctly from the sale of the manufactured building.

1 4. The gross proceeds of sales or gross income received from a
2 contract entered into for the modification of any building, highway, road,
3 railroad, excavation, manufactured building or other structure, project,
4 development or improvement located in a military reuse zone for providing
5 aviation or aerospace services or for a manufacturer, assembler or
6 fabricator of aviation or aerospace products within an active military
7 reuse zone after the zone is initially established or renewed under
8 section 42-1301. To be eligible to qualify for this deduction, before
9 beginning work under the contract, the prime contractor must have applied
10 for a letter of qualification from the department of revenue.

11 5. The gross proceeds of sales or gross income derived from a
12 contract to construct a qualified environmental technology manufacturing,
13 producing or processing facility, as described in section 41-1514.02, and
14 from subsequent construction and installation contracts that begin within
15 ten years after the start of initial construction. To qualify for this
16 deduction, before beginning work under the contract, the prime contractor
17 must obtain a letter of qualification from the department of revenue.
18 This paragraph shall apply for ten full consecutive calendar or fiscal
19 years after the start of initial construction.

20 6. The gross proceeds of sales or gross income from a contract to
21 provide for one or more of the following actions, or a contract for site
22 preparation, constructing, furnishing or installing machinery, equipment
23 or other tangible personal property, including structures necessary to
24 protect exempt incorporated materials or installed machinery or equipment,
25 and tangible personal property incorporated into the project, to perform
26 one or more of the following actions in response to a release or suspected
27 release of a hazardous substance, pollutant or contaminant from a facility
28 to the environment, unless the release was authorized by a permit issued
29 by a governmental authority:

30 (a) Actions to monitor, assess and evaluate such a release or a
31 suspected release.

32 (b) Excavation, removal and transportation of contaminated soil and
33 its treatment or disposal.

34 (c) Treatment of contaminated soil by vapor extraction, chemical or
35 physical stabilization, soil washing or biological treatment to reduce the
36 concentration, toxicity or mobility of a contaminant.

37 (d) Pumping and treatment or in situ treatment of contaminated
38 groundwater or surface water to reduce the concentration or toxicity of a
39 contaminant.

40 (e) The installation of structures, such as cutoff walls or caps,
41 to contain contaminants present in groundwater or soil and prevent them
42 from reaching a location where they could threaten human health or welfare
43 or the environment.

44 This paragraph does not include asbestos removal or the construction or
45 use of ancillary structures such as maintenance sheds, offices or storage
46 facilities for unattached equipment, pollution control equipment,

1 facilities or other control items required or to be used by a person to
2 prevent or control contamination before it reaches the environment.

3 7. The gross proceeds of sales or gross income that is derived from
4 a contract for the installation, assembly, repair or maintenance of
5 machinery, equipment or other tangible personal property that is either
6 deducted from the tax base of the retail classification under section
7 42-5061, subsection B or that is exempt from use tax under section
8 42-5159, subsection B and that has independent functional utility,
9 pursuant to the following provisions:

10 (a) The deduction provided in this paragraph includes the gross
11 proceeds of sales or gross income derived from all of the following:

12 (i) Any activity performed on machinery, equipment or other
13 tangible personal property with independent functional utility.

14 (ii) Any activity performed on any tangible personal property
15 relating to machinery, equipment or other tangible personal property with
16 independent functional utility in furtherance of any of the purposes
17 provided for under subdivision (d) of this paragraph.

18 (iii) Any activity that is related to the activities described in
19 items (i) and (ii) of this subdivision, including inspecting the
20 installation of or testing the machinery, equipment or other tangible
21 personal property.

22 (b) The deduction provided in this paragraph does not include gross
23 proceeds of sales or gross income from the portion of any contracting
24 activity that consists of the development of, or modification to, real
25 property in order to facilitate the installation, assembly, repair,
26 maintenance or removal of machinery, equipment or other tangible personal
27 property that is either deducted from the tax base of the retail
28 classification under section 42-5061, subsection B or exempt from use tax
29 under section 42-5159, subsection B.

30 (c) The deduction provided in this paragraph shall be determined
31 without regard to the size or useful life of the machinery, equipment or
32 other tangible personal property.

33 (d) For the purposes of this paragraph, "independent functional
34 utility" means that the machinery, equipment or other tangible personal
35 property can independently perform its function without attachment to real
36 property, other than attachment for any of the following purposes:

37 (i) Assembling the machinery, equipment or other tangible personal
38 property.

39 (ii) Connecting items of machinery, equipment or other tangible
40 personal property to each other.

41 (iii) Connecting the machinery, equipment or other tangible
42 personal property, whether as an individual item or as a system of items,
43 to water, power, gas, communication or other services.

44 (iv) Stabilizing or protecting the machinery, equipment or other
45 tangible personal property during operation by bolting, burying or
46 performing other similar nonpermanent connections to either real property
47 or real property improvements.

1 8. The gross proceeds of sales or gross income attributable to the
2 purchase of machinery, equipment or other tangible personal property that
3 is exempt from or deductible from transaction privilege and use tax under:

4 (a) Section 42-5061, subsection A, paragraph 25, 29 or 58.

5 (b) Section 42-5061, subsection B.

6 (c) Section 42-5159, subsection A, paragraph 13, subdivision (a),
7 (b), (c), (d), (e), (f), (j), (k), (m) or (n) or paragraph 55.

8 (d) Section 42-5159, subsection B.

9 9. The gross proceeds of sales or gross income received from a
10 contract for the construction of an environmentally controlled facility
11 for the raising of poultry for the production of eggs and the sorting,
12 cooling and packaging of eggs.

13 10. The gross proceeds of sales or gross income that is derived
14 from a contract entered into with a person who is engaged in the
15 commercial production of livestock, livestock products or agricultural,
16 horticultural, viticultural or floricultural crops or products in this
17 state for the modification of any building, highway, road, excavation,
18 manufactured building or other structure, project, development or
19 improvement used directly and primarily to prevent, monitor, control or
20 reduce air, water or land pollution.

21 11. The gross proceeds of sales or gross income that is derived
22 from the installation, assembly, repair or maintenance of clean rooms that
23 are deducted from the tax base of the retail classification pursuant to
24 section 42-5061, subsection B, paragraph 17.

25 12. For taxable periods beginning from and after June 30, 2001, the
26 gross proceeds of sales or gross income derived from a contract entered
27 into for the construction of a residential apartment housing facility that
28 qualifies for a federal housing subsidy for low-income persons over
29 sixty-two years of age and that is owned by a nonprofit charitable
30 organization that has qualified under section 501(c)(3) of the internal
31 revenue code.

32 13. For taxable periods beginning from and after December 31, 1996
33 and ending before January 1, 2017, the gross proceeds of sales or gross
34 income derived from a contract to provide and install a solar energy
35 device. The contractor shall register with the department as a solar
36 energy contractor. By registering, the contractor acknowledges that it
37 will make its books and records relating to sales of solar energy devices
38 available to the department for examination.

39 14. The gross proceeds of sales or gross income derived from a
40 contract entered into for the construction of a launch site, as defined in
41 14 Code of Federal Regulations section 401.5.

42 15. The gross proceeds of sales or gross income derived from a
43 contract entered into for the construction of a domestic violence shelter
44 that is owned and operated by a nonprofit charitable organization that has
45 qualified under section 501(c)(3) of the internal revenue code.

1 16. The gross proceeds of sales or gross income derived from
2 contracts to perform postconstruction treatment of real property for
3 termite and general pest control, including wood-destroying organisms.

4 17. The gross proceeds of sales or gross income received from
5 contracts entered into before July 1, 2006 for constructing a state
6 university research infrastructure project if the project has been
7 reviewed by the joint committee on capital review before the university
8 enters into the construction contract for the project. For the purposes
9 of this paragraph, "research infrastructure" has the same meaning
10 prescribed in section 15-1670.

11 18. The gross proceeds of sales or gross income received from a
12 contract for the construction of any building, or other structure,
13 project, development or improvement owned by a qualified business under
14 section 41-1516 for harvesting or processing qualifying forest products
15 removed from qualifying projects as defined in section 41-1516 if actual
16 construction begins before January 1, 2024. To qualify for this
17 deduction, the prime contractor must obtain a letter of qualification from
18 the Arizona commerce authority before beginning work under the contract.

19 19. Any amount of the gross proceeds of sales or gross income
20 attributable to development fees that are incurred in relation to a
21 contract for construction, development or improvement of real property and
22 that are paid by a prime contractor or subcontractor. For the purposes of
23 this paragraph:

24 (a) The attributable amount shall not exceed the value of the
25 development fees actually imposed.

26 (b) The attributable amount is equal to the total amount of
27 development fees paid by the prime contractor or subcontractor, and the
28 total development fees credited in exchange for the construction of,
29 contribution to or dedication of real property for providing public
30 infrastructure, public safety or other public services necessary to the
31 development. The real property must be the subject of the development
32 fees.

33 (c) "Development fees" means fees imposed to offset capital costs
34 of providing public infrastructure, public safety or other public services
35 to a development and authorized pursuant to section 9-463.05, section
36 11-1102 or title 48 regardless of the jurisdiction to which the fees are
37 paid.

38 20. The gross proceeds of sales or gross income derived from a
39 contract entered into for the construction of a mixed waste processing
40 facility that is located on a municipal solid waste landfill and that is
41 constructed for the purpose of recycling solid waste or producing
42 renewable energy from landfill waste. For the purposes of this paragraph:

43 (a) "Mixed waste processing facility" means a solid waste facility
44 that is owned, operated or used for the treatment, processing or disposal
45 of solid waste, recyclable solid waste, very small quantity generator
46 waste or household hazardous waste. For the purposes of this subdivision,
47 "very small quantity generator waste", "household hazardous waste" and

1 "solid waste facility" have the same meanings prescribed in section
2 49-701, except that solid waste facility does include a site that stores,
3 treats or processes paper, glass, wood, cardboard, household textiles,
4 scrap metal, plastic, vegetative waste, aluminum, steel or other
5 recyclable material.

6 (b) "Municipal solid waste landfill" has the same meaning
7 prescribed in section 49-701.

8 (c) "Recycling" means collecting, separating, cleansing, treating
9 and reconstituting recyclable solid waste that would otherwise become
10 solid waste, but does not include incineration or other similar processes.

11 (d) "Renewable energy" means usable energy, including electricity,
12 fuels, gas and heat, produced through the conversion of energy provided by
13 sunlight, water, wind, geothermal, heat, biomass, biogas, landfill gas or
14 another nonfossil renewable resource.

15 21. The gross proceeds of sales or gross income derived from a
16 contract to install containment structures. For the purposes of this
17 paragraph, "containment structure" means a structure that prevents,
18 monitors, controls or reduces noxious or harmful discharge into the
19 environment.

20 C. Entitlement to the deduction pursuant to subsection B, paragraph
21 7 of this section is subject to the following provisions:

22 1. A prime contractor may establish entitlement to the deduction by
23 both:

24 (a) Marking the invoice for the transaction to indicate that the
25 gross proceeds of sales or gross income derived from the transaction was
26 deducted from the base.

27 (b) Obtaining a certificate executed by the purchaser indicating
28 the name and address of the purchaser, the precise nature of the business
29 of the purchaser, the purpose for which the purchase was made, the
30 necessary facts to establish the deductibility of the property under
31 section 42-5061, subsection B, and a certification that the person
32 executing the certificate is authorized to do so on behalf of the
33 purchaser. The certificate may be disregarded if the prime contractor has
34 reason to believe that the information contained in the certificate is not
35 accurate or complete.

36 2. A person who does not comply with paragraph 1 of this subsection
37 may establish entitlement to the deduction by presenting facts necessary
38 to support the entitlement, but the burden of proof is on that person.

39 3. The department may prescribe a form for the certificate
40 described in paragraph 1, subdivision (b) of this subsection. The
41 department may also adopt rules that describe the transactions with
42 respect to which a person is not entitled to rely solely on the
43 information contained in the certificate provided in paragraph 1,
44 subdivision (b) of this subsection but must instead obtain such additional
45 information as required in order to be entitled to the deduction.

46 4. If a prime contractor is entitled to a deduction by complying
47 with paragraph 1 of this subsection, the department may require the

1 purchaser who caused the execution of the certificate to establish the
2 accuracy and completeness of the information required to be contained in
3 the certificate that would entitle the prime contractor to the deduction.
4 If the purchaser cannot establish the accuracy and completeness of the
5 information, the purchaser is liable in an amount equal to any tax,
6 penalty and interest that the prime contractor would have been required to
7 pay under article 1 of this chapter if the prime contractor had not
8 complied with paragraph 1 of this subsection. Payment of the amount under
9 this paragraph exempts the purchaser from liability for any tax imposed
10 under article 4 of this chapter. The amount shall be treated as a
11 transaction privilege tax to the purchaser and as tax revenues collected
12 from the prime contractor in order to designate the distribution base for
13 purposes of section 42-5029.

14 D. Subcontractors or others who perform modification activities are
15 not subject to tax if they can demonstrate that the job was within the
16 control of a prime contractor or contractors or a dealership of
17 manufactured buildings and that the prime contractor or dealership is
18 liable for the tax on the gross income, gross proceeds of sales or gross
19 receipts attributable to the job and from which the subcontractors or
20 others were paid.

21 E. Amounts received by a contractor for a project are excluded from
22 the contractor's gross proceeds of sales or gross income derived from the
23 business if the person who hired the contractor executes and provides a
24 certificate to the contractor stating that the person providing the
25 certificate is a prime contractor and is liable for the tax under article
26 1 of this chapter. The department shall prescribe the form of the
27 certificate. If the contractor has reason to believe that the information
28 contained on the certificate is erroneous or incomplete, the department
29 may disregard the certificate. If the person who provides the certificate
30 is not liable for the tax as a prime contractor, that person is
31 nevertheless deemed to be the prime contractor in lieu of the contractor
32 and is subject to the tax under this section on the gross receipts or
33 gross proceeds received by the contractor.

34 F. Every person engaging or continuing in this state in the
35 business of prime contracting or dealership of manufactured buildings
36 shall present to the purchaser of such prime contracting or manufactured
37 building a written receipt of the gross income or gross proceeds of sales
38 from such activity and shall separately state the taxes to be paid
39 pursuant to this section.

40 G. For the purposes of section 42-5032.01, the department shall
41 separately account for revenues collected under the prime contracting
42 classification from any prime contractor engaged in the preparation or
43 construction of a multipurpose facility, and related infrastructure, that
44 is owned, operated or leased by the tourism and sports authority pursuant
45 to title 5, chapter 8.

46 H. For the purposes of section 42-5032.02, from and after
47 September 30, 2013, the department shall separately account for revenues

1 reported and collected under the prime contracting classification from any
2 prime contractor engaged in the construction of any buildings and
3 associated improvements that are for the benefit of a manufacturing
4 facility. For the purposes of this subsection, "associated improvements"
5 and "manufacturing facility" have the same meanings prescribed in section
6 42-5032.02.

7 I. For the purposes of section 42-5032.03 and subject to section
8 48-4238, beginning October 1, 2025 and each month thereafter through
9 December 31, 2055, the department shall separately account for revenues
10 reported and collected under the prime contracting classification from any
11 prime contractor engaged in the construction of any buildings and
12 associated improvements that are for the benefit of a major league
13 baseball facility or an adjacent building that is owned by a county
14 stadium district pursuant to title 48, chapter 26 and operated by the
15 county stadium district or the professional baseball franchise
16 organization that occupies the major league baseball facility or adjacent
17 building. For the purposes of this subsection, "adjacent building" and
18 "major league baseball facility" have the same meanings prescribed in
19 section 48-4201.

20 J. The gross proceeds of sales or gross income derived from a
21 contract for lawn maintenance services is not subject to tax under this
22 section if the contract does not include landscaping activities. Lawn
23 maintenance service is a service pursuant to section 42-5061, subsection
24 A, paragraph 1, and includes lawn mowing and edging, weeding, repairing
25 sprinkler heads or drip irrigation heads, seasonal replacement of flowers,
26 refreshing gravel, lawn dethatching, seeding winter lawns, leaf and debris
27 collection and removal, tree or shrub pruning or clipping, garden and
28 gravel raking and applying pesticides, as defined in section 3-361, and
29 fertilizer materials, as defined in section 3-262.

30 K. Except as provided in subsection P of this section, the gross
31 proceeds of sales or gross income derived from landscaping activities is
32 subject to tax under this section. Landscaping includes installing lawns,
33 grading or leveling ground, installing gravel or boulders, planting trees
34 and other plants, felling trees, removing or mulching tree stumps,
35 removing other imbedded plants, building irrigation berms, installing
36 railroad ties and installing underground sprinkler or watering systems.

37 L. The portion of gross proceeds of sales or gross income
38 attributable to the actual direct costs of providing architectural or
39 engineering services that are incorporated in a contract is not subject to
40 tax under this section. For the purposes of this subsection, "direct
41 costs" means the portion of the actual costs that are directly expended in
42 providing architectural or engineering services.

43 M. Operating a landfill or a solid waste disposal facility is not
44 subject to taxation under this section, including filling, compacting and
45 creating vehicle access to and from cell sites within the landfill.
46 Constructing roads to a landfill or solid waste disposal facility and

1 constructing cells within a landfill or solid waste disposal facility may
2 be deemed prime contracting under this section.

3 N. The following apply in determining the taxable situs of sales of
4 manufactured buildings:

5 1. For sales in this state where the manufactured building dealer
6 contracts to deliver the building to a setup site or to perform the setup
7 in this state, the taxable situs is the setup site.

8 2. For sales in this state where the manufactured building dealer
9 does not contract to deliver the building to a setup site or does not
10 perform the setup, the taxable situs is the location of the dealership
11 where the building is delivered to the buyer.

12 3. For sales in this state where the manufactured building dealer
13 contracts to deliver the building to a setup site that is outside this
14 state, the situs is outside this state and the transaction is excluded
15 from tax.

16 O. The gross proceeds of sales or gross income attributable to a
17 written contract for design phase services or professional services,
18 executed before modification begins and with terms, conditions and pricing
19 of all of these services separately stated in the contract from those for
20 construction phase services, is not subject to tax under this section,
21 regardless of whether the services are provided sequential to or
22 concurrent with prime contracting activities that are subject to tax under
23 this section. This subsection does not include the gross proceeds of
24 sales or gross income attributable to construction phase services. For
25 the purposes of this subsection:

26 1. "Construction phase services" means services for the execution
27 and completion of any modification, including the following:

28 (a) Administration or supervision of any modification performed on
29 the project, including team management and coordination, scheduling, cost
30 controls, submittal process management, field management, safety program,
31 close-out process and warranty period services.

32 (b) Administration or supervision of any modification performed
33 pursuant to a punch list. For the purposes of this subdivision, "punch
34 list" means minor items of modification work performed after substantial
35 completion and before final completion of the project.

36 (c) Administration or supervision of any modification performed
37 pursuant to change orders. For the purposes of this subdivision, "change
38 order" means a written instrument issued after execution of a contract for
39 modification work, providing for all of the following:

40 (i) The scope of a change in the modification work, contract for
41 modification work or other contract documents.

42 (ii) The amount of an adjustment, if any, to the guaranteed maximum
43 price as set in the contract for modification work. For the purposes of
44 this item, "guaranteed maximum price" means the amount guaranteed to be
45 the maximum amount due to a prime contractor for the performance of all
46 modification work for the project.

1 (iii) The extent of an adjustment, if any, to the contract time of
2 performance set forth in the contract.

3 (d) Administration or supervision of any modification performed
4 pursuant to change directives. For the purposes of this subdivision,
5 "change directive" means a written order directing a change in
6 modification work before agreement on an adjustment of the guaranteed
7 maximum price or contract time.

8 (e) Inspection to determine the dates of substantial completion or
9 final completion.

10 (f) Preparation of any manuals, warranties, as-built drawings,
11 spares or other items the prime contractor must furnish pursuant to the
12 contract for modification work. For the purposes of this subdivision,
13 "as-built drawing" means a drawing that indicates field changes made to
14 adapt to field conditions, field changes resulting from change orders or
15 buried and concealed installation of piping, conduit and utility services.

16 (g) Preparation of status reports after modification work has begun
17 detailing the progress of work performed, including preparation of any of
18 the following:

19 (i) Master schedule updates.

20 (ii) Modification work cash flow projection updates.

21 (iii) Site reports made on a periodic basis.

22 (iv) Identification of discrepancies, conflicts or ambiguities in
23 modification work documents that require resolution.

24 (v) Identification of any health and safety issues that have arisen
25 in connection with the modification work.

26 (h) Preparation of daily logs of modification work, including
27 documentation of personnel, weather conditions and on-site occurrences.

28 (i) Preparation of any submittals or shop drawings used by the
29 prime contractor to illustrate details of the modification work performed.

30 (j) Administration or supervision of any other activities for which
31 a prime contractor receives a certificate for payment or certificate for
32 final payment based on the progress of modification work performed on the
33 project.

34 2. "Design phase services" means services for developing and
35 completing a design for a project that are not construction phase
36 services, including the following:

37 (a) Evaluating surveys, reports, test results or any other
38 information on-site conditions for the project, including physical
39 characteristics, legal limitations and utility locations for the site.

40 (b) Evaluating any criteria or programming objectives for the
41 project to ascertain requirements for the project, such as physical
42 requirements affecting cost or projected utilization of the project.

43 (c) Preparing drawings and specifications for architectural program
44 documents, schematic design documents, design development documents,
45 modification work documents or documents that identify the scope of or
46 materials for the project.

1 (d) Preparing an initial schedule for the project, excluding the
2 preparation of updates to the master schedule after modification work has
3 begun.

4 (e) Preparing preliminary estimates of costs of modification work
5 before completion of the final design of the project, including an
6 estimate or schedule of values for any of the following:

7 (i) Labor, materials, machinery and equipment, tools, water, heat,
8 utilities, transportation and other facilities and services used in the
9 execution and completion of modification work, regardless of whether they
10 are temporary or permanent or whether they are incorporated in the
11 modifications.

12 (ii) The cost of labor and materials to be furnished by the owner
13 of the real property.

14 (iii) The cost of any equipment of the owner of the real property
15 to be assigned by the owner to the prime contractor.

16 (iv) The cost of any labor for installation of equipment separately
17 provided by the owner of the real property that has been designed,
18 specified, selected or specifically provided for in any design document
19 for the project.

20 (v) Any fee paid by the owner of the real property to the prime
21 contractor pursuant to the contract for modification work.

22 (vi) Any bond and insurance premiums.

23 (vii) Any applicable taxes.

24 (viii) Any contingency fees for the prime contractor that may be
25 used before final completion of the project.

26 (f) Reviewing and evaluating cost estimates and project documents
27 to prepare recommendations on site use, site improvements, selection of
28 materials, building systems and equipment, modification feasibility,
29 availability of materials and labor, local modification activity as
30 related to schedules and time requirements for modification work.

31 (g) Preparing the plan and procedures for selection of
32 subcontractors, including any prequalification of subcontractor
33 candidates.

34 3. "Professional services" means architect services, engineer
35 services, geologist services, land surveying services or landscape
36 architect services that are within the scope of those services as provided
37 in title 32, chapter 1 and for which gross proceeds of sales or gross
38 income has not otherwise been deducted under subsection L of this section.

39 P. The gross proceeds of sales or gross income derived from a
40 contract with the owner of real property or improvements to real property
41 for the maintenance, repair, replacement or alteration of existing
42 property is not subject to tax under this section if the contract does not
43 include modification activities, except as specified in this subsection.
44 The gross proceeds of sales or gross income derived from a de minimis
45 amount of modification activity does not subject the contract or any part
46 of the contract to tax under this section. For the purposes of this
47 subsection:

1 1. Tangible personal property that is incorporated or fabricated
2 into a project described in this subsection may be subject to the amount
3 prescribed in section 42-5008.01.

4 2. Each contract is independent of any other contract, except that
5 any change order that directly relates to the scope of work of the
6 original contract shall be treated the same as the original contract under
7 this chapter, regardless of the amount of modification activities included
8 in the change order. If a change order does not directly relate to the
9 scope of work of the original contract, the change order shall be treated
10 as a new contract, with the tax treatment of any subsequent change order
11 to follow the tax treatment of the contract to which the scope of work of
12 the subsequent change order directly relates.

13 Q. Notwithstanding subsection P of this section, a contract that
14 primarily involves surface or subsurface improvements to land and that is
15 subject to title 28, chapter 19, 20 or 22 or title 34, chapter 2 or 6 is
16 taxable under this section, even if the contract also includes vertical
17 improvements. Agencies that are subject to procurement processes under
18 those provisions shall include in the request for proposals a notice to
19 bidders when those projects are subject to this section. This subsection
20 does not apply to contracts with:

21 1. Community facilities districts, fire districts, county
22 television improvement districts, community park maintenance districts,
23 cotton pest control districts, hospital districts, pest abatement
24 districts, health service districts, agricultural improvement districts,
25 county free library districts, county jail districts, county stadium
26 districts, special health care districts, public health services
27 districts, theme park districts or revitalization districts.

28 2. Any special taxing district not specified in paragraph 1 of this
29 subsection if the district does not substantially engage in the
30 modification, maintenance, repair, replacement or alteration of surface or
31 subsurface improvements to land.

32 R. THE GROSS PROCEEDS OF SALES OR GROSS INCOME ATTRIBUTABLE TO THE
33 DEVELOPMENT OF WORKFORCE HOUSING PROJECTS AS DEFINED IN SECTION 9-461.21
34 IF THE WORKFORCE HOUSING PROJECT IS NOT SUBJECT TO THE STATE'S PORTION OF
35 THE PRIME CONTRACTING SALES TAX UNDER THIS SECTION, REGARDLESS OF WHETHER
36 THE SERVICES ARE PROVIDED SEQUENTIAL TO OR CONCURRENT WITH PRIME
37 CONTRACTING ACTIVITIES THAT ARE SUBJECT TO TAX UNDER THIS SECTION.

38 ~~R.~~ S. Notwithstanding subsection ~~S~~ T, paragraph 10 of this
39 section, a person owning real property who enters into a contract for sale
40 of the real property, who is responsible to the new owner of the property
41 for modifications made to the property in the period subsequent to the
42 transfer of title and who receives a consideration for the modifications
43 is considered a prime contractor solely for purposes of taxing the gross
44 proceeds of sale or gross income received for the modifications made
45 subsequent to the transfer of title. The original owner's gross proceeds
46 of sale or gross income received for the modifications shall be determined
47 according to the following methodology:

1 1. If any part of the contract for sale of the property specifies
2 amounts to be paid to the original owner for the modifications to be made
3 in the period subsequent to the transfer of title, the amounts are
4 included in the original owner's gross proceeds of sale or gross income
5 under this section. Proceeds from the sale of the property that are
6 received after transfer of title and that are unrelated to the
7 modifications made subsequent to the transfer of title are not considered
8 gross proceeds of sale or gross income from the modifications.

9 2. If the original owner enters into an agreement separate from the
10 contract for sale of the real property providing for amounts to be paid to
11 the original owner for the modifications to be made in the period
12 subsequent to the transfer of title to the property, the amounts are
13 included in the original owner's gross proceeds of sale or gross income
14 received for the modifications made subsequent to the transfer of title.

15 3. If the original owner is responsible to the new owner for
16 modifications made to the property in the period subsequent to the
17 transfer of title and derives any gross proceeds of sale or gross income
18 from the project subsequent to the transfer of title other than a delayed
19 disbursement from escrow unrelated to the modifications, it is presumed
20 that the amounts are received for the modifications made subsequent to the
21 transfer of title unless the contrary is established by the owner through
22 its books, records and papers kept in the regular course of business.

23 4. The tax base of the original owner is computed in the same
24 manner as a prime contractor under this section.

25 ~~S.~~ T. For the purposes of this section:

26 1. "Alteration" means an activity or action that causes a direct
27 physical change to existing property. For the purposes of this paragraph:

28 (a) For existing property that is properly classified as class two
29 property under section 42-12002, paragraph 1, subdivision (c) or paragraph
30 2, subdivision (c) and that is used for residential purposes, class three
31 property under section 42-12003 or class four property under section
32 42-12004, this paragraph does not apply if the contract amount is more
33 than twenty-five percent of the most recent full cash value established
34 under chapter 13, article 2 of this title as of the date of any bid for
35 the work or the date of the contract, whichever value is higher.

36 (b) For all existing property other than existing property
37 described in subdivision (a) of this paragraph, this paragraph does not
38 apply if the contract amount is more than \$750,000.

39 (c) Project elements may not be artificially separated from a
40 contract to cause a project to qualify as an alteration. The department
41 has the burden of proof that project elements have been artificially
42 separated from a contract.

43 (d) If a project for which the owner and the person performing the
44 work reasonably believed, at the inception of the contract, would be
45 treated as an alteration under this paragraph and, on completion of the
46 project, the project exceeded the applicable threshold described in either
47 subdivision (a) or (b) of this paragraph by not more than twenty-five

1 percent of the applicable threshold for any reason, the work performed
2 under the contract qualifies as an alteration.

3 (e) A change order that directly relates to the scope of work of
4 the original contract shall be treated as part of the original contract,
5 and the contract amount shall include any amount attributable to a change
6 order that directly relates to the scope of work of the original contract.

7 (f) Alteration does not include maintenance, repair or replacement.

8 2. "Contracting" means engaging in business as a contractor.

9 3. "Contractor" is synonymous with the term "builder" and means any
10 person or organization that undertakes to or offers to undertake to, or
11 purports to have the capacity to undertake to, or submits a bid to, or
12 does personally or by or through others, modify any building, highway,
13 road, railroad, excavation, manufactured building or other structure,
14 project, development or improvement, or to do any part of such a project,
15 including the erection of scaffolding or other structure or works in
16 connection with such a project, and includes subcontractors and specialty
17 contractors. For all purposes of taxation or deduction, this definition
18 shall govern without regard to whether or not such a contractor is acting
19 in fulfillment of a contract.

20 4. "Manufactured building" means a manufactured home, mobile home
21 or factory-built building, as defined in section 41-4001.

22 5. "Manufactured building dealer" means a dealer who either:

23 (a) Is licensed pursuant to title 41, chapter 37, article 4 and who
24 sells manufactured buildings to the final consumer.

25 (b) Supervises, performs or coordinates the excavation and
26 completion of site improvements or the setup of a manufactured building,
27 including the contracting, if any, with any subcontractor or specialty
28 contractor for the completion of the contract.

29 6. "Modification" means construction, grading and leveling ground,
30 wreckage or demolition. Modification does not include:

31 (a) Any project described in subsection P of this section.

32 (b) Any wreckage or demolition of existing property, or any other
33 activity that is a necessary component of a project described in
34 subsection P of this section.

35 (c) Any mobilization or demobilization related to a project
36 described in subsection P of this section, such as the erection or removal
37 of temporary facilities to be used by those persons working on the
38 project.

39 7. "Modify" means to make a modification or cause a modification to
40 be made.

41 8. "Owner" means the person that holds title to the real property
42 or improvements to real property that is the subject of the work, as well
43 as an agent of the title holder and any person with the authority to
44 perform or authorize work on the real property or improvements, including
45 a tenant and a property manager. For the purposes of subsection P of this
46 section, a person who is hired by a general contractor that is hired by an

1 owner, or a subcontractor of a general contractor that is hired by an
2 owner, is considered to be hired by the owner.

3 9. "Prime contracting" means engaging in business as a prime
4 contractor.

5 10. "Prime contractor" means a contractor who supervises, performs
6 or coordinates the modification of any building, highway, road, railroad,
7 excavation, manufactured building or other structure, project, development
8 or improvement, including the contracting, if any, with any subcontractors
9 or specialty contractors and who is responsible for the completion of the
10 contract. Except as provided in subsections E and ~~R~~ S of this section, a
11 person who owns real property, who engages one or more contractors to
12 modify that real property and who does not itself modify that real
13 property is not a prime contractor within the meaning of this paragraph
14 regardless of the existence of a contract for sale or the subsequent sale
15 of that real property.

16 11. "Replacement" means the removal from service of one component
17 or system of existing property or tangible personal property installed in
18 existing property, including machinery or equipment, and the installation
19 of a new component or system or new tangible personal property, including
20 machinery or equipment, that provides the same, a similar or an upgraded
21 design or functionality, regardless of the contract amount and regardless
22 of whether the existing component or system or existing tangible personal
23 property is physically removed from the existing property.

24 12. "Sale of a used manufactured building" does not include a lease
25 of a used manufactured building.

26 Sec. 4. Effective date

27 Section 9-461.21, Arizona Revised Statutes, as added by this act,
28 and sections 35-726 and 42-5075, Arizona Revised Statutes, as amended by
29 this act, are effective twelve months from and after the general effective
30 date.

31 Sec. 5. Short title

32 This act may be cited as the "Workforce Housing Incentive Act".

33 Amend title to conform

And, as so amended, it do pass

TERESA MARTINEZ
CHAIRMAN

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